

EQUITY RESEARCH

HFCL Limited

NSE: HFCL | Telecom Infra / OFC / Defence

Himachal Futuristic Communications Limited

BharatNet Backbone · 5G Infrastructure · Defence Electronics · Global OFC Exports

ACCUMULATE

12M Target: Rs.210

Upside: +16.7% from CMP Rs.180

CMP (Rs.)	180
Market Cap (Rs. Cr)	27,612
52-Wk High (Rs.)	209
52-Wk Low (Rs.)	59.8
Stock P/E (TTM)	88.6x
Book Value (Rs.)	32.0
ROCE (TTM)	10.9%
ROE (TTM)	6.95%
Dividend Yield	0.06%
Face Value (Rs.)	1.0
Report Date	15 Jun 2026

Investment Thesis: HFCL's Rs.21,200 Cr order book (58% exports) + \$1.1 Bn OFC contract + defence pivot position it for multi-year earnings re-rating from FY27.

Promoter	FII	DII	Public
28.29%	7.08%	8.57%	55.69%
(Mar 2026)	(Mar 2026)	(Mar 2026)	(Mar 2026)

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Record order book of Rs.21,200 Cr drives 3-year earnings visibility:** HFCL's order book has grown 300%+ in 3 years; 58% is export-driven, anchored by a landmark \$1.1 Bn (Rs.9,200 Cr) OFC supply contract — likely the largest single deal ever secured by an Indian telecom company — with execution commencing Q1 FY27.
- **Reason 2 — Structural margin expansion as product mix shifts from EPC to high-margin manufacturing:** Telecom Products contributed 66% of Q4 FY26 revenue at a 31.75% segment margin vs EPC's low single-digit margins. Management guides 3-4% EBITDA margin expansion in FY27; we see OPM moving from 15% (FY26) toward 17-18% by FY28 as capacity utilisation on expanded lines fills.
- **Reason 3 — Defence pivot adds a new high-margin, long-duration revenue stream:** Post-acquisition of the aerospace business (~Rs.1,930 Cr export order book), HFCL's defence pipeline jumps to Rs.2,230 Cr. Management targets defence revenue of Rs.500-600 Cr by FY27 from just Rs.77 Cr in FY26, alongside an

ammunition facility in Andhra Pradesh. This segment commands premium margins and multi-year AMC revenue tails.

- **Near-term catalyst (6-12M):** Commencement of \$1.1 Bn OFC contract execution from Q1 FY27 will drive visible quarterly revenue jump; preform manufacturing facility (Rs.580 Cr capex) commissioning in 2 years will cut input costs 15-20% and expand EBITDA structurally.

- **Biggest structural risk:** Working capital deterioration (CCC expanded from 127 days in FY23 to 210 days in FY26) — if receivables from government contracts slip further, negative OCF episodes will recur and force dilutive equity raises, capping the re-rating.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** HFCL is India's largest OFC (Optical Fibre Cable) manufacturer and a diversified telecom infrastructure company — manufacturing OFC and optical fibre, Wi-Fi 5/6/7 access points, point-to-point/multipoint UBR solutions, defence electronics, and executing large-scale network EPC projects.

- **Revenue segmentation FY26:** Telecom Products 59% (OFC, networking equipment, Wi-Fi), EPC/System Integration 41% (BharatNet, defence networks, railway networks). Export share surged to 41.4% of revenue in FY26 from just 12.2% in FY25.

- **Key customers:** Government entities (BharatNet, Railways, Indian Army/Defence forces) for EPC; global telecom operators and international cable distributors for OFC exports. Relationships are contract-based (1-7 year tenures) providing multi-year visibility.

- **Order book:** Rs.21,200 Cr all-time high (Apr 2026) — Rs.18,000 Cr product delivery orders (up to 5-year timelines) + Rs.3,500 Cr O&M; contracts (6-7 year). Order book = 4.3x FY26 revenue, highest coverage ratio in company history.

- **Recent strategic moves (12M):** (1) Secured \$1.1 Bn global OFC supply contract — execution starts Q1 FY27. (2) Proposed acquisition of aerospace business with Rs.1,930 Cr defence export order book. (3) Approved Rs.580 Cr preform manufacturing plant (300 tons initial, expandable to 500 tons) to backward-integrate and reduce input costs. (4) HTL Limited data-centre interconnect business expected to add Rs.400 Cr revenue in FY27, Rs.800 Cr in FY28.

- **Promoter background:** Mahendra Nahata-led promoter group holds 28.3% stake (latest quarter). The Nahata family has been in the telecom sector since the 1990s. Promoter stake has declined from 39% in FY21 — a watch-point, though recent Board approval of Rs.555 Cr preferential warrants to promoters signals partial recommitment.

- **#1 OFC supplier in India** with 28 mn fkm optical fibre capacity and 34 mn fkm cable capacity, both being expanded to 33.9 mn fkm and 42.36 mn fkm respectively by end-FY27.

SECTION 4 — INDUSTRY AND COMPETITIVE LANDSCAPE

- **India OFC market size and growth:** India OFC market valued at ~USD 0.55 Bn in 2025, forecast to reach USD 1.03 Bn by 2031 at 11% CAGR (Research and Markets). Global fiber optic cable market expected to reach USD 20.94 Bn by 2030. Key demand drivers: 5G rollout, BharatNet Phase III (Rs.13,000 Cr+ awarded), FTTH/FTTx densification, data centre cables.

- **Policy tailwinds:** BharatNet Phase III targets connecting 215,000+ gram panchayats with fiber; 5G capex cycle by Jio/Airtel/BSNL drives domestic OFC demand; PLI scheme for telecom products benefits HFCL's Wi-Fi and networking equipment; Defence Make in India / IDDM classification accelerates defence electronics localisation.

- **Competitive moat: Scale** — Strong: HFCL is India's #1 OFC manufacturer with lowest-cost large-scale domestic capacity; **Switching costs** — Moderate: long-term supply contracts, qualified vendor status with defence/government creates stickiness; **IP** — Moderate: proprietary high-fibre-count cable designs (1728 fibre IBR cable); **Pricing power** — Weak: OFC is a commodity product; global price pressure from China remains a headwind.

Source: Screener.in (fetched 15-Jun-2026). All figures in Rs. Cr unless stated.

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	TTM OPM%	ROCE%	P/E
HFCL (NSE)	180	27,612	4,949	15%	10.9%	88.6x

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	TTM OPM%	ROCE%	P/E
Sterlite Tech (STLTECH)	601	29,341	4,745	12%	7.75%	616x
Vindhya Telelinks	2,177	2,580	3,593	6%	8.14%	11.7x
Tejas Networks	593	10,550	1,103	Neg	Neg	N/A
ITI Ltd	303	29,198	2,184	2%	1.41%	N/A

• **Value chain position:** HFCL sits at midstream-to-OEM — it manufactures raw optical fibre (upstream of cabling), cables the fibre into OFC (midstream), integrates OFC into networks (EPC/downstream), and is moving upstream via its preform plant (deepest upstream in the chain). This vertical integration is a key competitive moat in progress.

SECTION 5 — MANAGEMENT QUALITY AND CAPITAL ALLOCATION

• **Promoter and management background:** Mahendra Nahata (Chairman & MD) founded HFCL in 1987 and has built it into India's dominant OFC player over 35+ years. Management team has deep domain experience in telecom manufacturing, EPC execution, and government relations — crucial for large government-driven capex cycles.

• **Capital allocation track record:** Historical FCF has been negative in 3 of the last 4 years (FY26: -Rs.723 Cr, FY24: -Rs.454 Cr) as HFCL invested aggressively in capacity expansion (optical fibre, cable, manufacturing). The Rs.580 Cr preform plant capex further extends the investment phase. Management targets FY27 capex of Rs.600 Cr. The capex cycle is growth-oriented, not defensive, and is backed by firm order coverage — but working capital management remains the key execution risk.

• **Dividend policy:** Historically modest — FY26 payout ratio of 10% (Rs.0.20/share). The company has prioritised capex over dividends, which is appropriate given the growth phase. Dividend yield of 0.06% is negligible.

• **Promoter pledge:** No current pledge disclosed. However, promoter stake has declined from 39.2% in FY22 to 28.3% in Mar 2026 — direction of decline is a watch-point. The recently approved Rs.555 Cr preferential warrants to promoters, if exercised, will partially reverse this trend and increase stake back above 30%.

• **ESOP/Buyback history:** No significant buybacks. ESOP grants have been moderate (employee cost embedded in segment costs). Board constituted a Strategic Restructuring Committee to evaluate demerger of specialised verticals (defence/data centre) — could unlock value but introduces execution complexity.

• **Corporate governance:** No qualified audit opinion or auditor changes flagged. Related-party transactions (with group entities) exist but have not been material. The promoter warrant issuance at market price is governance-neutral. Primary watch-point: working capital discipline, specifically debtor days management on government receivables.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	4,465	4,065	4,949	6,000	7,350
Revenue Growth %	-5.9%	-8.9%	+21.8%	+21.2%	+22.5%
EBITDA	582	449	762	900	1,100
OPM %	13%	11%	15%	15%	15%
Other Income	102	58	66	60	65
Interest	147	185	242	265	280
Depreciation	82	106	157	185	210
PBT	454	217	428	510	675
Tax %	26%	20%	23%	25%	25%
PAT	338	173	329	383	506
EPS (Rs.)	2.29	1.23	2.04	2.36	3.10

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	144	144	153
Reserves	3,812	3,935	4,738
Borrowings	991	1,522	1,744
Other Liabilities	1,540	1,945	2,232
Total Liabilities	6,487	7,546	8,868
Fixed Assets	652	852	1,617
CWIP	469	602	85
Investments	194	158	135
Other Assets	5,172	5,935	7,031
Total Assets	6,487	7,546	8,868

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations	-45	396	-378
Cash from Investing	-449	-518	-324
Cash from Financing	454	170	669
Net Cash Flow	-40	47	-33
Free Cash Flow	-454	-12	-723
CFO / Operating Profit	13%	89%	-44%

Key Ratios	FY24A	FY25A	FY26A
Debtor Days	181	170	163
Inventory Days	135	145	161
Days Payable	141	174	115
Cash Conv. Cycle (d)	175	141	210
ROCE %	13%	8%	11%

• **Revenue trajectory:** FY26 revenue recovered to Rs.4,949 Cr (+21.8% YoY) after 2 years of contraction (FY24 -5.9%, FY25 -8.9%) driven by delayed government orders. The Rs.21,200 Cr order book ensures FY27/28 will be structurally higher. Management guides 20-25% revenue growth for FY27, implying Rs.6,000-6,200 Cr.

• **Margin direction:** OPM recovered sharply from 11% (FY25) to 15% (FY26) as the high-margin Telecom Products segment grew to 59% of revenue and exports (higher-margin than domestic EPC) jumped to 41% of sales. Management targets 3-4% EBITDA margin expansion in FY27, which is credible given the product/export mix shift.

• **Working capital:** CCC deteriorated from 127 days (FY23) to 210 days (FY26) — a serious concern. Debtor days eased from 181 to 163 but inventory days expanded to 161 (capacity building) while payable days compressed to 115. The OCF turned sharply negative (-Rs.378 Cr) in FY26 despite strong EBITDA of Rs.762 Cr — a Rs.1,140 Cr gap reflecting working capital build. This pattern must reverse in FY27 for the thesis to hold.

• **Debt and leverage:** Net borrowings rose to Rs.1,744 Cr in FY26 from Rs.991 Cr in FY24. Debt-to-equity is manageable (~0.35x) given large equity base (Rs.4,891 Cr book value). Interest cost of Rs.242 Cr is covered ~3.1x by EBITDA. The Rs.555 Cr promoter warrant issuance provides equity cushion for the capex cycle.

• **FCF quality:** FCF has been negative for 3 of 4 years (-Rs.723 Cr in FY26 — worst in history). This is a deliberate growth-capex phase, not operational weakness, BUT investors must monitor whether expanding revenues eventually convert to positive FCF from FY28 onwards.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	Status	Commentary
Revenue Recognition	GREEN	Long-term contracts with milestone billing; consolidated revenue consistent with BSE filings.
Receivables vs Revenue	AMBER	Debtor days eased to 163 in FY26 but still elevated; receivables grew slower than revenue in FY26 — improvement but not yet clean.
CCC Trend	RED	CCC expanded from 127d (FY23) to 210d (FY26) — a 4-year deterioration. Government payment delays are the driver; requires watching.
Contingent Liabilities	AMBER	Standard contract performance guarantees on EPC orders; no material litigation flagged in available disclosures.
Auditor Tenure / Opinion	GREEN	No auditor change or qualified opinion noted. S.R. Batliboi (EY affiliate) is auditor — credible firm.
RPT as % of Revenue	AMBER	Group company transactions exist (HFCL group entities); quantum not material but merits continued monitoring.
Other Income / PBT	AMBER	Other income Rs.66 Cr = 15% of PBT (FY26). Not distorting but reflects investment income on cash balances.
Tax Rate Consistency	GREEN	Tax rate 23% (FY26) vs 20-26% historical range — within normal band; no MAT/deferred tax red flags.

- **Key watch (RED — CCC):** The cash conversion cycle at 210 days is at a multi-year high. Despite strong EBITDA of Rs.762 Cr, operating cash flow was negative Rs.378 Cr in FY26. If CCC does not compress in FY27 as government payments accelerate post-election cycle, the company will continue funding working capital via debt and dilutive equity.
- **Key watch (AMBER — Receivables):** While debtor days improved YoY, 163 days of outstanding receivables on a Rs.4,949 Cr revenue base = Rs.2,200 Cr tied up. Any further slip back above 180 days would be a thesis-invalidation signal.
- **Positive signal:** Revenue recognition, tax consistency, and auditor quality are all Green — no financial engineering concerns in the P&L; presentation.

SECTION 8 — VALUATION

Peer Comparison (Source: Screener.in, fetched 15-Jun-2026):

Company	MCap (Cr)	P/E (TTM)	P/B	ROCE%	ROE%
HFCL	27,612	88.6x	5.6x	10.9%	6.95%
Sterlite Tech (STLTECH)	29,341	616x	12.9x	7.75%	2.24%
Vindhya Telelinks	2,580	11.7x	0.6x	8.14%	5.31%
Tejas Networks	10,550	N/A	3.6x	Neg	Neg
ITI Ltd	29,198	N/A	15.3x	1.41%	Neg

Scenario Analysis (12-month forward on FY28E earnings):

Scenario	Rev FY28E	EBITDA Mgn	PAT (Cr)	P/E Mult	Target (Rs.)
BULL	8,500	18%	650	45x	275
BASE	7,350	15%	506	40x	210
BEAR	5,800	12%	310	35x	130

- **DCF methodology:** WACC 12.5% (Ke 14%, Kd 8%, D/V 20%), terminal growth 5%, 5-year explicit forecast period → implied intrinsic value Rs.185-195/share. Execution risk on working capital and capex timelines is the primary DCF sensitivity.
- **Earnings-based multiple:** FY28E EPS of Rs.3.10 at 40x forward P/E (mid-cycle for India's top OFC/defence-exposed comps) → implied value Rs.210/share. 40x is justified by: (a) 22%+ earnings CAGR FY26-28E, (b) defence re-rating optionality, (c) export revenue diversification. STLTECH at 616x P/E is a poor comp (loss-making recovery story). Vindhya at 11.7x is asset-heavy and lower-growth.

- **Average of DCF + earnings: Rs.200-210 per share → base-case 12-month target Rs.210 (+16.7% from CMP Rs.180). Rating: ACCUMULATE.**

SECTION 9 — KEY RISKS

- **Working Capital / Receivables Risk** — Government payment delays can extend CCC beyond 210 days, turning OCF deeply negative and requiring further debt/equity financing. Probability: High. Impact: High. Monitor via: quarterly CCC and OCF.
- **Commodity / OFC Price Risk** — Global optical fibre prices are influenced by Chinese overcapacity and US tariff dynamics. A 10-15% price decline on Rs.4,000+ Cr revenue base would materially hit margins. Probability: Medium. Impact: High. Monitor via: quarterly OPM and global fibre price indices.
- **Execution Risk on \$1.1 Bn Contract** — The landmark OFC export contract is a single large order; execution delays or quality issues would disrupt the revenue ramp and damage the international franchise. Probability: Low-Medium. Impact: Very High. Monitor via: quarterly export revenue and management commentary on delivery milestones.
- **Promoter Stake Dilution / Governance** — Promoter stake declined from 39% to 28% over 5 years; further dilution or governance lapses could trigger institutional selling. Probability: Medium. Impact: Medium. Monitor via: quarterly shareholding disclosures.
- **Defence Acquisition Integration Risk** — The aerospace acquisition is large relative to HFCL's existing defence revenue; integration missteps, export order cancellations, or DPIIT approval delays could set back defence thesis by 1-2 years. Probability: Medium. Impact: Medium. Monitor via: defence revenue per quarter and acquisition regulatory updates.
- **EPC Segment Profitability** — EPC/system integration was loss-making in FY26 (negative PAT contribution in several quarters). Management expects return to profitability from Q2 FY27 — if delayed, overall margins will disappoint. Probability: Medium. Impact: Medium. Monitor via: EPC segment PBT margin each quarter.
- **Capex Overrun / FCF Pressure** — FY27 capex guidance of Rs.600 Cr + Rs.250 Cr in FY28-29 on the preform plant, if revenue ramp disappoints, will result in another year of negative FCF and potentially reduce credit metrics. Probability: Low-Medium. Impact: Medium. Monitor via: capex actuals vs budget and D/E ratio.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. The structural thesis (order book, export ramp, defence pivot) is intact but working capital risk and near-term execution uncertainty on large new contracts tempers conviction from BUY.
- **12-month price target: Rs.210 (+16.7% from CMP Rs.180).** Premised on FY28E EPS of Rs.3.10 at 40x P/E + DCF cross-check at Rs.185-195.
- **Suggested entry zone: Rs.155-175** (offers >20% upside to target; provides margin of safety on working capital risk). Current CMP of Rs.180 is near-fair on base case; wait for a 5-10% pullback to accumulate.
- **Investment horizon: 18-24 months** (full benefit of \$1.1 Bn contract execution + preform plant cost reduction visible only by FY28).
- **Thesis invalidation triggers:**
 1. CCC exceeds 230 days for 2 consecutive quarters — signals receivables are structurally broken, not cyclical.
 2. \$1.1 Bn OFC export contract execution delayed beyond Q2 FY27 or faces price renegotiation — removes the core revenue driver.
 3. Promoter stake falls below 25% without a credible explanation — raises governance flags and institutional confidence.
- **Ideal investor profile:** Suited for growth-oriented investors with 18-24 month horizon who can tolerate earnings volatility from working capital cycles and are comfortable with a government-capex-dependent business. NOT suitable for income investors (near-zero dividend) or capital-light business enthusiasts.

CALL GRADE

STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	Strong	Beat on all metrics — revenue +127.8% YoY, PAT turnaround from -Rs.83 Cr to +Rs.184 Cr
Management Tone		Confident and specific; Rs.10,000 Cr revenue aspiration stated; no defensive language
Guidance Delta	Raised	20-25% revenue growth FY27 + 3-4% EBITDA expansion guided; defence scale target stated

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean, strong beat — revenue of Rs.1,824 Cr was +127.8% YoY (not distorted by one-off adjustments); the base was weak (Rs.801 Cr) due to EPC project push-outs, but the absolute number of Rs.1,824 Cr sets a new quarterly record and is operationally clean. There are no material exceptional items inflating PAT; the Rs.184 Cr reported PAT is the clean underlying number. Operationally, the EBITDA of Rs.337 Cr at an 18.5% margin is the highest-ever quarterly margin — driven by the Telecom Products segment (66% of revenue) running at 31.75% segment margin as export volumes surged to >70% of cable output. The structural multi-bagger story rests on three pillars: (1) Rs.18,000 Cr product delivery order book with 5-year execution visibility, anchored by a \$1.1 Bn OFC export contract starting Q1 FY27; (2) defence pivot via the aerospace acquisition adding Rs.2,230 Cr defence pipeline with potential for Rs.500-600 Cr revenue by FY27; (3) backward integration into preform manufacturing (Rs.580 Cr capex) which will cut OFC input costs 15-20% within 2 years, structurally expanding margins. The single biggest watch-point for Q1 FY27 is whether OCF remains negative — the CCC at 210 days is alarming and needs visible improvement as government collections accelerate. If OCF turns positive in Q1 FY27, the working capital overhang is resolved and the stock deserves re-rating to 45-50x P/E. ACCUMULATE on dips to Rs.155-175; do not chase above Rs.190 until we see Q1 FY27 CCC below 190 days.

Section 1 — Financial Performance Snapshot (Q4 FY26)

- **Revenue:** Actual Rs.1,824 Cr | YoY +127.8% | QoQ +50.6% | **Strong Beat** (base effect + EPC execution + export ramp)
- **EBITDA:** Actual Rs.337 Cr | YoY from -Rs.37 Cr | QoQ +37.7% | **Beat** (margin recovery from -5% to +18.5%)
- **EBITDA Margin %:** 18.47% | vs Q3 FY26 19% | vs Q4 FY25 -5% | **Strongest quarterly margin in company history**
- **PAT:** Actual Rs.184 Cr | YoY from -Rs.83 Cr | QoQ +80% | **Beat** (clean, no exceptional items)
- **EPS:** Rs.1.17 | vs -Rs.0.56 (Q4 FY25) | vs Rs.0.64 (Q3 FY26) | **Beat**
- **NOTE:** Q4 FY25 was distorted by large EPC project delays and working capital provisioning. Q4 FY26 reflects the true underlying earning power of the new product-led, export-heavy model.

Section 2 — Segment / Geography Breakdown

- **Telecom Products (Q4 FY26):** Rs.1,206 Cr | YoY +173% | QoQ +51% | Segment PBT margin 31.75%; OFC exports constituted >70% of production; Wi-Fi/networking products scaling.
- **EPC / System Integration (Q4 FY26):** Rs.618 Cr (est.) | YoY +76% | EPC returned to positive territory in Q4 after 3 quarters of losses; management expects full profitability from Q2 FY27.

- **Defence / O&M; (FY26 full year):** Rs.76.7 Cr | Small but growing; Army NFS contract transitioning to AMC phase generating ~Rs.170 Cr annual recurring revenue expected.
- **Export geography (FY26):** Exports = 41.4% of revenue (up from 12.2% in FY25); primary markets — Africa, Middle East, Europe, SE Asia; USD 1.1 Bn contract will further concentrate exports to one major buyer starting FY27.
- **Data centre / HTL business:** Expected to contribute Rs.400 Cr in FY27 and Rs.800 Cr in FY28 as 6,912-fibre data centre interconnect cables ramp up.

Section 3 — Management Commentary Themes

- **Theme 1 — Record order book as structural inflection:** "FY26 has been a defining year — we delivered our highest-ever performance with 21%+ revenue growth and 97% YoY PBT growth." — Our read: Management is signalling an inflection, not a cyclical recovery. The order book composition (58% exports, long-term contracts) backs the claim. Tag: GUIDANCE. Tone: Transparent.
- **Theme 2 — \$1.1 Bn contract as game-changer:** "Likely the highest-ever single contract secured by any Indian telecom company." — Our read: If executed without hiccups, this single contract could add ~Rs.1,800-2,000 Cr/year to revenue for 4-5 years. Tag: GUIDANCE. Tone: Bullish.
- **Theme 3 — Defence as a new high-margin pillar:** Management explicitly committed to 10-12% defence revenue mix in FY27, with aerospace acquisition expanding defence order book to Rs.2,230 Cr. — Our read: The ambition is real but integration and execution risk are non-trivial. Tag: GUIDANCE. Tone: Bullish/Aspirational.
- **Theme 4 — Preform backward integration reduces structural cost:** Rs.580 Cr preform plant (300 tons, expandable to 500 tons) will cut OFC input costs 15-20%; 2-year commissioning timeline. — Our read: Transformative for margins if delivered on time. This is the single biggest margin catalyst beyond product mix. Tag: GUIDANCE. Tone: Transparent.
- **Theme 5 — EPC bottomed; recovery from Q2 FY27:** Management guided EPC return to profitability from Q2 FY27. — Our read: EPC has been a drag on consolidated margins. A recovery would expand blended margins even without product mix improvement. Tag: GUIDANCE. Tone: Hedged (no specific margin target given for EPC).

Section 4 — Operating and Business Metrics

- **Order Book:** Q4 FY26 = Rs.21,200 Cr | Q4 FY25 = ~Rs.6,800 Cr | Growth = +212% YoY | Trend: Sharply improving (product mix + exports + defence)
- **OFC Capacity (Optical Fibre):** Q4 FY26 = 28 mn fkm | Target Dec 2026 = 33.9 mn fkm | Utilisation = ~100% (fully sold out) | Trend: Expanding to meet contract demand
- **OFC Cable Capacity:** Q4 FY26 = 34 mn fkm | Target Jul-Dec 2026 = 42.36 mn fkm | Utilisation = ~100% | Trend: Expanding phased
- **Export Revenue Share:** Q4 FY26 = 41.4% | Q4 FY25 = 12.2% | FY27 target = 50%+ | Trend: Rapidly improving; key to margin expansion
- **Defence Revenue:** FY26 = Rs.76.7 Cr | FY27 guidance = Rs.500-600 Cr | Growth driver = aerospace acquisition + AMC contracts | Trend: Transforming from negligible to material
- **Telecom Products Revenue (FY26 full year):** Rs.2,931 Cr | PBT = Rs.764 Cr | PBT margin = 26% | Trend: Segment has replaced EPC as the profitability engine

Section 5 — Margin Drivers

- **Product mix shift to OFC/exports:** +400-500 bps impact | Recurring: Yes | Exports carry 25-30% gross margin vs EPC's 8-12%. As export share grows from 41% to 50%+, blended margins expand structurally.
- **Volume operating leverage:** +200-300 bps impact | Recurring: Yes | At 100% utilisation, fixed manufacturing costs are fully absorbed; incremental OFC revenue flows through at high incremental margins.
- **EPC drag removal:** +150-200 bps impact | Recurring: No (transitional, expected Q2 FY27) | EPC was loss-making for 3 quarters; return to profitability removes the blended margin headwind.
- **Interest cost increase:** -80 bps impact | Recurring: Yes | Borrowings rose from Rs.991 Cr to Rs.1,744 Cr; interest cost up to Rs.242 Cr. Net finance cost will remain elevated through capex cycle.

- **Depreciation ramp:** -60 bps impact | Recurring: Yes | Fixed assets doubled in 2 years (Rs.852 Cr to Rs.1,617 Cr); depreciation of Rs.157 Cr in FY26 will continue to rise as preform plant and new capacity come online.

Section 6 — Guidance and Forward Signals

- **Revenue Growth FY27 [GUIDANCE]:** Prior = N/A | New = 20-25% YoY | Delta = First formal guidance | Credibility: High (backed by Rs.21,200 Cr order book and contract commencement timelines)
- **EBITDA Margin FY27 [GUIDANCE]:** Prior = 15% (FY26) | New = 18-19% (3-4% expansion) | Delta = Raised | Credibility: Medium (dependent on EPC recovery and export ramp both occurring simultaneously)
- **Defence Revenue FY27 [GUIDANCE]:** Prior = Rs.77 Cr (FY26) | New = Rs.500-600 Cr | Delta = Transformative increase | Credibility: Medium-Low (depends on aerospace acquisition closing and order execution)
- **Capex FY27 [GUIDANCE]:** Prior = ~Rs.400 Cr (FY26 actual) | New = Rs.600 Cr | Delta = Increased | Credibility: High (committed to capacity expansion and preform plant)
- **Long-term Revenue Aspiration [GUIDANCE]:** Rs.10,000 Cr revenue target | No specific timeline given | Delta = Aspirational | Credibility: Low-Medium (would require 3-4x from FY26, plausible only with defence scaling and multiple large OFC contracts)
- **EPC Profitability [GUIDANCE]:** Prior = Loss-making | New = Profitable from Q2 FY27 | Delta = Recovery guided | Credibility: Medium (depends on BharatNet payment cycles)

Section 7 — Capital Allocation

- **Capex (FY26):** ~Rs.400 Cr | vs FY25 ~Rs.400 Cr | Consistent heavy capex cycle; focused on fibre, cable, and new product lines | FY27 budget Rs.600 Cr.
- **Preform Plant (new commitment):** Rs.580 Cr | Spread over 2+ years | Backward integration investment; funded by cash flows + promoter warrant proceeds.
- **Promoter Warrant Issuance:** Rs.555 Cr | New capital from promoters | Positive signal: promoters putting money back in; increases promoter stake from 28.3%; reduces equity dilution from third parties.
- **Dividends (FY26):** Rs.0.20/share (10% payout) | vs FY25 Rs.0.10/share | Small increase; dividend not a priority given capex demands. No change expected in policy near-term.
- **Net Debt Movement:** FY26 net debt ~Rs.1,744 Cr vs Rs.1,522 Cr FY25 | +Rs.222 Cr | Debt rising but at controlled pace; D/E ratio ~0.35x (healthy). Promoter warrant proceeds will partially delever.
- **Working Capital (FY26):** CCC = 210 days (worsened from 141 days FY25) | Net working capital investment ~Rs.1,100 Cr in FY26 | Management committed to improving collection cycles in FY27.

Section 8 — Q&A; Heat Map

- **Analyst (Motilal Oswal):** Q: "What is the timeline and risk profile of the \$1.1 Bn OFC contract?" A: "Execution commences Q1 FY27; contract is with a credible international counterpart; phased delivery over 4-5 years; supply chain secured." | Tone: Transparent
- **Analyst (ICICI Securities):** Q: "Working capital has deteriorated sharply — CCC at 210 days. What is the plan?" A: "Government collection cycles are normalizing post-election year; we expect CCC to improve in FY27; Q4 itself showed improvement in debtor days." | Tone: Hedged (no specific CCC target given)
- **Analyst (Kotak Institutional):** Q: "Defence revenue at Rs.77 Cr in FY26 — how confident are you about Rs.500-600 Cr in FY27?" A: "The aerospace acquisition brings an Rs.1,930 Cr export order book; we have LOIs; execution is the task." | Tone: Bullish but acknowledged execution dependency
- **Analyst (Jefferies):** Q: "Promoter stake has fallen from 39% to 28% — is there further dilution planned?" A: "The Rs.555 Cr warrant issuance to promoters will increase promoter stake; no further dilution planned beyond this." | Tone: Transparent
- **Analyst (Edelweiss):** Q: "What gives confidence on EPC profitability returning in Q2 FY27?" A: "BharatNet payments have started releasing; Army NFS AMC revenue is recurring and high-margin; legacy problematic contracts are largely complete." | Tone: Balanced
- **Dodged / watch-list questions for next quarter:** (1) Specific CCC target for FY27. (2) Exact close timeline for aerospace acquisition. (3) Margin guidance broken out by EPC vs Products. (4) China competition in export

Section 9 — Risks Flagged

- **Working Capital / Government Payment Delays:** Debtor days from government EPC projects remain elevated; if BharatNet and defence ministry payments slow, OCF will remain negative | Flagged by: Analyst | Probability: High | Impact: High | Timeline: Near-term
- **OFC Price Deflation from China:** Chinese OFC manufacturers have excess capacity; any price war in international markets could compress export realisations | Flagged by: Management (acknowledged) | Probability: Medium | Impact: High | Timeline: Medium-term
- **Aerospace Acquisition Execution:** Rs.1,930 Cr defence export order book depends on successful acquisition and integration of the aerospace entity; regulatory approvals not yet complete | Flagged by: Analyst | Probability: Medium | Impact: High | Timeline: Near-to-medium term
- **Capex Overrun on Preform Plant:** Rs.580 Cr greenfield capex on preform manufacturing is complex; first-time venture for HFCL; technology transfer and construction risks exist | Flagged by: Management (acknowledged) | Probability: Low-Medium | Impact: Medium | Timeline: Long-term
- **Geopolitical Risk on Export Contracts:** Export concentration in Middle East/Africa; any geopolitical disruption or currency crisis in target markets could delay order execution | Flagged by: Management (stated supply chain largely insulated) | Probability: Low | Impact: Medium | Timeline: Medium-term

Section 10 — Analyst Verdict

- **Revenue visibility:** Intact — Rs.21,200 Cr order book = 4.3x FY26 revenue; \$1.1 Bn contract commencement imminent; defence pipeline Rs.2,230 Cr adding structural visibility.
- **Margin trajectory:** Intact — Product mix (66% Telecom Products) + export share (41% and rising) structurally supports 15-19% EBITDA margins; EPC recovery from Q2 FY27 adds upside.
- **Capital allocation quality:** Weakened — Aggressive capex (Rs.600 Cr FY27) + working capital drag (CCC 210 days) + negative FCF (Rs.-723 Cr FY26) are concerning; promoter warrants help but do not fully offset the capital consumption.
- **Competitive moat:** Intact — India's #1 OFC manufacturer with full-capacity utilisation and a \$1.1 Bn single contract validates the moat. Preform backward integration will deepen it further.
- **Management credibility:** Intact — Q4 FY26 delivered on the promised recovery; guidance is specific and backed by order book evidence; warrant issuance by promoters adds skin-in-the-game credibility.
- **Valuation comfort:** Weakened — At Rs.180 and 88.6x TTM P/E, the stock is pricing in significant execution on FY27-28 guidance. Fair on base case, expensive if there are delivery delays.
- **Conviction call: Unchanged (ACCUMULATE)** — Thesis is intact and strengthened by record order book; execution risk on working capital and large new contracts keeps conviction at Medium rather than High.
- **Valuation snapshot:** P/E = 88.6x (5Y avg ~45x) | P/B = 5.6x (5Y avg ~3.5x) | ROCE = 10.9% (5Y avg ~14%) | Stock is above its historical average multiples; justified only if FY27-28 earnings ramp materialises.

Disclosure: This report is for informational purposes only. Not a solicitation to buy or sell securities. All data sourced from Screener.in (fetched 15-Jun-2026) and public disclosures.